

4-9 Chapter Review

4-9a Let's Review Chapter Summary

1. [Exhibit 1](#) illustrates the end-of-period process by which accounts are adjusted and how the adjusted accounts flow into the financial statements.
2. Using the end-of-period spreadsheet shown in [Exhibit 1](#), the income statement, statement of stockholders' equity, and balance sheet can be prepared. A classified balance sheet has sections for current assets; property, plant, and equipment; current liabilities; long-term liabilities; and stockholders' equity.
3. Two entries are required in closing the temporary accounts. The first entry closes the revenue and expense accounts to the retained earnings account. The second entry closes the dividends account to the retained earnings account. After the closing entries have been posted to the ledger, the balance in the account agrees with the amount reported on the statement of stockholders' equity and balance sheet. In addition, the revenue, expense, and dividends accounts will have zero balances.
4. The 10 basic steps of the accounting cycle are as follows:
 1. Transactions are analyzed and recorded in the journal.
 2. Transactions are posted to the ledger.
 3. An unadjusted trial balance is prepared.
 4. Adjustment data are assembled and analyzed.
 5. An optional end-of-period spreadsheet is prepared.
 6. Adjusting entries are journalized and posted to the ledger.

7. An adjusted trial balance is prepared.
 8. Financial statements are prepared.
 9. Closing entries are journalized and posted to the ledger.
 10. A post-closing trial balance is prepared.
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5. The complete accounting cycle for Kelly Consulting for the month of April is described and illustrated in this chapter.
 6. The accrual basis of accounting is required by generally accepted accounting principles (GAAP) because it better reports the operating performance of a company. It does this by matching revenues and expenses on the income statement.
 7. The ability to convert assets into cash is called liquidity, while the ability of a business to pay its debts is called solvency. Two financial measures for evaluating a business's liquidity and solvency are working capital and the current ratio. Working capital is computed by subtracting current liabilities from current assets. An excess of current assets over current liabilities implies that the business is able to pay its current liabilities. The current ratio is computed by dividing current assets by current liabilities. The current ratio is more useful than working capital in making comparisons across companies or with industry averages.